OFFERING MEMORANDUM

Cobalt Data Campus | Nashville, TN

Property	Cobalt Data Campus
Location	6786 Grand Street, Nashville, TN 28227
Property Type	Data Center
Size	18,981 SF
Year Built	2019
Offering	Unpriced - Offers Due July 25, 2024

Investor Distributions

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Projected levered IRR is 6.1% with an equity multiple of 1.17x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Carrier-neutral meet-me room supports multiple fiber providers.

Market Overview

The Nashville Data Center market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Data Center assets in Nashville remains strong with recent trades at capitalization rates between 7.64% and 7.64%. Market vacancy for comparable Data Center product stands at 6.3%, down from 7.7% two years ago. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Cobalt Data Campus is located in Nashville, TN, a market that has recorded 13.6% population growth over the last five years. Rent growth in the submarket has averaged 7.3% annually over the past 3 years.

Median household income within a 5-mile radius of the property is approximately $413,000 and has grown 9.4% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Data Center assets in Nashville remains strong with recent trades at capitalization rates between 7.89% and 7.89%. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Risk Considerations

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Projected levered IRR is 5.0% with an equity multiple of 1.36x over the hold period. The facility is a purpose-built data center with 29 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers.

Carrier-neutral meet-me room supports multiple fiber providers. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 25 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Submarket Analysis

Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 6-mile radius of the property is approximately $340,000 and has grown 11.1% annually. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Market vacancy for comparable Data Center product stands at 10.1%, down from 7.9% two years ago. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Investor demand for Data Center assets in Nashville remains strong with recent trades at capitalization rates between 7.88% and 7.88%.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only